

Tesla, Inc.
TSLA NASDAQ

Hold	\$303.03 ▼ 1.43%	12M Price Target \$315.00	52-Week Range \$297.82 – \$498.83	Market Cap \$1.20T
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TSLA: Trillion-Dollar Line in the Sand as EV Credits Fade

WHAT HAPPENED

- TSLA is grinding lower for a 5th straight session, now sitting at just 3% of its 52-week range — meaning it's basically scraping the floor of where it's traded all year. Barron's is openly questioning whether it holds the \$1 trillion market cap, and that's a psychological line traders defend or capitulate on.
- Volume today is tiny (8.7M vs. 40M+ recent days) — that's not panic selling, it's buyer's strike. Nobody wants to catch this knife ahead of what looks like a policy-driven overhang.

WHY IT MATTERS

Here's the real story: the "One Big Beautiful Bill" that Trump signed in July 2025 killed the \$7,500 federal EV tax credit as of September 30, 2025 — and we're now seeing what a post-subsidy Tesla actually looks like in earnings. The Simply Wall St headline saying TSLA still trades at a "premium on sales despite weaker earnings" is code for: the fundamentals have deteriorated but the multiple hasn't caught down yet. Options flow tells you smart money agrees — put/call ratio at 1.39 with massive unusual put buying at \$305, \$315, and \$322.50 strikes means someone with real money is betting on more downside, not a bounce. This stock is no longer trading on cars; it's trading on the *promise* of Robotaxi and Optimus, and every week without a concrete revenue number from those bets makes the premium harder to defend.

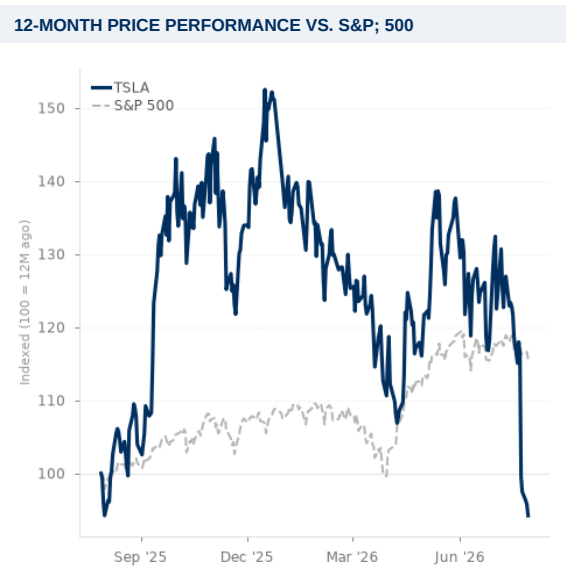
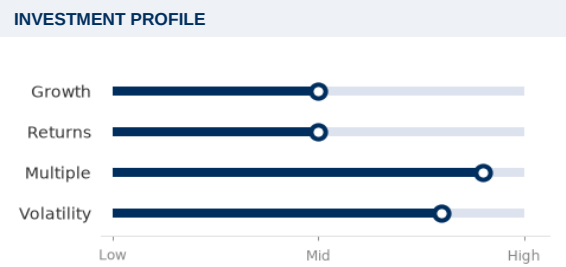
POLICY & POLITICAL WATCH

Two policy threads matter right now: (1) The CLARITY Act — the crypto market structure bill — just hit a "summer roadblock" per Yahoo, which indirectly hurts TSLA because Tesla holds Bitcoin on its balance sheet and Musk's broader tech-friendly regulatory narrative loses steam when Congress stalls. (2) More importantly, the expired EV tax credit is now a real headwind — Tesla's cheaper trims lost their most powerful sales lever, and there's zero appetite in this Republican Congress to bring it back. The offset investors are hoping for: federal autonomous vehicle rules that preempt the state-by-state patchwork, which would be huge for Robotaxi — but there's no bill moving on that today.

IS IT EXPENSIVE?

At ~\$1.2T market cap on roughly \$100B in revenue, investors are paying about \$12 for every \$1 of sales — legacy automakers like Toyota trade at closer to \$1. Forward P/E around 144x means you're paying \$144 today for every \$1 of profit expected next year, which is Nvidia-tier pricing without Nvidia-tier growth (TSLA revenue is growing high single digits, not 50%+). The premium only makes sense if you believe Robotaxi and Optimus become material revenue lines within 2-3 years — if that timeline slips, this multiple has a lot of room to compress.

Key Data	
Price (USD)	\$303.03
12M Price Target	\$315.00
Upside / (Downside)	+4.0%
Market Cap	\$1.20T
FY2026E Revenue	\$102M
FY2027E Revenue	\$118M
FY2026E EPS	\$2.10
FY2027E EPS	\$2.85
Fwd P/E	144.3x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$335.00	\$305.00	\$275.00
6 Months	\$380.00	\$315.00	\$240.00
1 Year	\$450.00	\$330.00	\$220.00
2 Years	\$550.00	\$360.00	\$200.00
5 Years	\$800.00	\$450.00	\$180.00
10 Years	\$1200.00	\$600.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.6%) is the clear winner today — likely oil price strength and no policy overhang. Consumer Staples and Healthcare are grinding higher on defensive rotation, which tells you money is playing defense, not offense.

COOLING OFF: Communication Services and Real Estate are weak — the "growth at any price" trade is losing air, which is exactly the bucket TSLA sits in from a multiple standpoint.

ROTATION WATCH: Money is rotating OUT of expensive growth/tech and INTO defensives and energy — that's a direct headwind for a stock trading at 144x forward earnings. This isn't a sector story, it's a valuation story.

RELATED PLAY: If you believe the Robotaxi thesis, the picks-and-shovels play is NVDA (their AI training chips) and lidar/sensor names. If you think EVs are structurally challenged post-credit, short the pure-play EV names (RIVN, LCID) which have none of Tesla's diversification.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy sector strength on oil price recovery and zero policy risk under current administration.
- KO (Coca-Cola): Barron's literally called it "more expensive than Nvidia, deservedly so" today — defensive names are getting bid up hard.

TSLA CONTEXT: TSLA is lagging badly — the S&P is fine, defensives are up, and Tesla is at the bottom of its 52-week range. When a mega-cap can't hold up on a green tape, that's a tell: this is a stock-specific problem, not a market problem. Until TSLA shows relative strength on an up day, don't try to be a hero.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$275-290 on further weakness

Time Horizon: 12-24 months, driven by Robotaxi/Optimus catalysts

Thesis Invalidation: Auto gross margins fall below 15% or Robotaxi rollout slips into 2027

Hedging: Long-dated puts or pair against BYD/legacy OEMs